

GROUP PROCUREMENT · SUSTAINABILITY STRATEGY

Procurement Sustainability Strategy 2026

How Procurement moves the 71% of The Corporate's footprint that sits in the value chain, and meets the 2045 net-zero commitment through its suppliers.

FRAMEWORK	OWNER	VERSION	IMPLEMENTS
ESRS / CSRD aligned	Group Procurement	1.0 · 24 June 2026	POL-ENV-001 · TC-GOV-014

71% SCOPE 3 SHARE LOCATION-BASED, 2023	500+ TIER 1 SUPPLIERS	2045 NET-ZERO, FULL VALUE CHAIN	~690k TCO₂E TOTAL FOOTPRINT, 2023
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EXECUTIVE SUMMARY

The value chain is the strategy

Net-zero by 2045 turns on the value chain. **71% of The Corporate's carbon footprint is Scope 3** (location-based, 2023 base year), and it sits almost entirely with more than 500 Tier 1 suppliers. This strategy is how Procurement moves it.

It operationalizes the Global Environmental Policy (POL-ENV-001) and is enforced through the Supplier Code of Conduct (TC-GOV-014): the Policy sets the commitments, this strategy is the operating model, and the Code makes the requirements binding. Three things change in 2026. Every Tier 1 supplier enters a single intake and assessment system. Sustainability becomes a weighted criterion in sourcing decisions, not a post-award check. And supplier due diligence moves to a risk-based footing aligned with the German Supply Chain Act (LkSG) and the EU Corporate Sustainability Due Diligence Directive (CSDDD).

What this covers and where it sits

The strategy applies to all direct and indirect procurement supporting the five manufacturing sites, Shenzhen Systems, Hanoi Hub, Chennai Circuitry, Guadalajara Gigafactory, and Wrocław Precision. It reaches Tier 1 and Tier 2 suppliers, and to the smelter level for conflict minerals.

It is the operating layer between two existing documents. The **Global Environmental Policy (POL-ENV-001)** states what The Corporate commits to. This **strategy** is how Procurement delivers it. The **Supplier Code of Conduct (TC-GOV-014)** makes the requirements binding on suppliers. Priorities follow the 2026 Double Materiality Assessment under ESRS: climate (E1), pollution (E2), water (E3), circular economy (E5), value-chain workers (S2), and business conduct (G1).

Accountability

A **Sustainable Procurement Council**, chaired by the Chief Procurement Officer and co-sponsored by the Chief Sustainability Officer, owns this strategy and its targets and meets quarterly. Category managers are accountable for the sustainability targets in their categories, alongside cost and continuity. Progress rolls into the CSO's quarterly Executive Board report and the annual CSRD sustainability statement.

ACTIVITY	ACCOUNTABLE	RESPONSIBLE / CONSULTED
Supplier intake and assessment	Chief Procurement Officer	Category teams; Sustainability and EHS consulted
Target setting and tracking	Sustainable Procurement Council	CPO and CSO; Finance consulted
Due diligence and remediation	Chief Sustainability Officer	EHS and Compliance; Legal consulted
CSRD disclosure	Chief Sustainability Officer	Sustainability reporting; Procurement consulted

Priority material topics

Each priority reflects a significant environmental or social risk in the value chain, a financial exposure tied to regulation and market access, or both.

ESRS STANDARD	MATERIAL TOPIC	PROCUREMENT RELEVANCE
E1 Climate Change	Value chain emissions	71% of the footprint is Scope 3 (location-based, 2023). Supplier decarbonization is the primary lever for SBTi compliance and carbon-cost exposure.
E2 Pollution	Substances of concern	High risk at Shenzhen (electronics) and Guadalajara (chemicals). PFAS declaration and REACH compliance are conditions for continued sourcing.
E3 Water	Water stress	Guadalajara and Chennai sit in high-stress basins. Upstream water security is a sourcing-continuity requirement.
E5 Circular Economy	Critical raw materials	Scarcity of secondary aluminium and rare earths is a direct financial risk to the 2045 sourcing strategy.
S2 Value Chain Workers	Human and labour rights	Risk-based due diligence on Tier 1 and Tier 2 suppliers in Southeast Asia and Poland to prevent forced-labour import and export exposure.
G1 Business Conduct	Supplier management	Conflict-minerals suppliers must meet audit and disclosure requirements before onboarding or renewal.

The 2026 to 2030 scorecard

FIXED ANCHORS (FROM THE POLICY AND CODE)

- Net-zero across the full value chain by 2045; cut market-based emissions 50% by 2030 vs the 675,500 tCO₂e (market-based) 2023 baseline.
- Tier 1 suppliers set 1.5°C science-based targets no later than 2030; recycled aluminium 90% by 2032; PFAS phase-out by 2030; ISO 14001 for high-impact suppliers by end 2027; water targets at high-stress sites by 2028.

THEME	KPI	TARGET	BY
Visibility	Tier 1 supplier assessment coverage (EcoVadis or questionnaire)	100% (85% by Q4 2026)	2027
Climate	Scope 3 (purchased goods and services) emissions under supplier 1.5°C science-based targets	60%, then 80%	2028 / 2030
Climate	Scope 3 spend under an agreed supplier decarbonization plan	60%	2028
Pollution	In-scope suppliers submitting a PFAS declaration (transparency)	100%	2027
Water	Critical suppliers in high-stress basins disclosing withdrawals and holding a water risk plan	100%	2028
Human rights	Tier 1 suppliers with a signed Code of Conduct	100%	2026

Climate KPIs are supplier-engagement targets, the credible procurement lever, set conservatively against the SBTi pathway. Human-rights due diligence beyond Code signature is risk-based rather than numeric (Section 06). Spend coverage and primary product-carbon-footprint data are focus areas for the coming years. Recycled aluminium and ISO 14001 remain Policy commitments tracked at corporate level.

05 · OPERATING MODEL

How it works

Smart Intake and segmentation

A single intake handles all Tier 1 onboarding and annual reviews. Suppliers self-select a path: a valid EcoVadis scorecard satisfies the requirement in full; others complete the ESRS-aligned questionnaire. The base is segmented by business criticality against ESG risk, prioritizing the named hotspots, pollution and labour at Shenzhen, chemicals and water at Guadalajara, water at Chennai, CBAM and aluminium at Wrocław, labour at Hanoi.

Sustainability in the sourcing decision

ESG is a weighted criterion in tender scoring for in-scope categories, not a post-award check. Code signature and an EcoVadis score are onboarding gates. Sustainability clauses, data provision, right to audit, science-based-target setting, PFAS declaration, and CBAM data, go into new and renewed contracts. The Policy's \$100 per tCO₂e internal carbon price is applied to sourcing total-cost decisions, not only capital projects.

Engagement and supplier development

Beyond compliance, Procurement helps suppliers build product-carbon-footprint capability and primary data, supports decarbonization planning for the largest emitters, and helps stressed-basin suppliers build water risk plans. Preferred-supplier status rewards leaders.

06 · DUE DILIGENCE

Risk-based supplier due diligence

Human-rights and environmental due diligence follows a risk-based cycle that satisfies LkSG and CSDDD. Risk is identified by country, sector, and commodity; high-risk suppliers are prioritized for prevention, announced and unannounced audits, and confidential worker interviews. The Integrity Line provides the grievance channel. Gaps trigger a corrective action plan within 30 days, and persistent non-conformance escalates to suspension and exit, as set out in the Code. Coverage follows risk rather than a fixed quota.

For conflict minerals (3TG), in-scope suppliers must demonstrate smelter-level traceability through the Responsible Minerals Initiative process before onboarding or renewal.

07 · DATA AND REPORTING

One data backbone, audit-ready

Smart Intake is the data layer. Each field maps to an ESRS datapoint, E1 Scope 3 Category 1, E2 substances of concern, E3 water, E5 resource flows, S2 value-chain workers, and G1 conduct, and is fed by EcoVadis, CDP, and supplier product-carbon-footprint data. The output is auditable evidence for the annual CSRD statement, plus CBAM embedded-emissions data at Wrocław Precision and geolocation data for deforestation-free land-based commodities under the EU Deforestation Regulation.

08 · REGULATORY HORIZON

What is coming, and what it asks of Procurement

REGULATION	WHAT IT ASKS OF PROCUREMENT	TIMING
CSRD / ESRS	Value-chain disclosure across E1 to E5, S2, and G1	Reporting from 2026
CSDDD (EU 2024/1760)	Risk-based value-chain due diligence and remediation	Phasing in
German Supply Chain Act (LkSG)	Statutory human-rights and environmental due diligence	In force
CBAM	Embedded-emissions data for covered goods, led at Wrocław	Definitive regime 2026
EU Forced Labour Regulation	No products made with forced labour; import and export ban exposure	Phasing in
Critical Raw Materials Act	Secure and diversify critical-raw-material sourcing	In force
REACH and PFAS restriction	Chemical compliance and supplier PFAS declaration	Ongoing
EU Deforestation Regulation	Deforestation-free, geolocated land-based commodities	Phasing in

09 · ROADMAP AND RISK

Sequencing, 2026 to 2028

YEAR	MILESTONES
2026	Launch Smart Intake; invite 100% of Tier 1 (first cycle closes Q4 2026); risk-tier the supply base; embed ESG weighting in priority-category tenders; 100% Code signature.
2027	100% Tier 1 assessment coverage; supplier decarbonization program scaled to the largest emitters; risk-based audit cycle running; ISO 14001 expected of high-impact suppliers.
2028	60% of purchased-goods Scope 3 emissions under supplier science-based targets (toward 80% by 2030); water disclosures and risk plans complete at high-stress basins; PFAS declarations complete.

Principal risks

Supply continuity in water-stressed basins and for secondary aluminium and rare earths; supplier concentration in single regions; and supplier non-conformance, managed through the corrective-action-to-exit ladder. One reconciliation to hold in view: the decarbonization trajectory is tracked on the location-based footprint (690,000 tCO_{2e}, 2023), while the 50%-by-2030 target is market-based (675,500 tCO_{2e}); the two are reported on a common basis.